

Procure Space ETF

SPCX NASDAQ

Hold	\$111.36 ▼ 3.22%	12M Price Target \$130.00	52-Week Range \$108.66 – \$225.64	Market Cap \$1.47T
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SPCX: Space ETF Bleeds as SpaceX Weight Drags Despite Starship Win

WHAT HAPPENED

- SPCX just tagged a fresh 52-week low at \$111 — sitting at 2% of its yearly range, which is basically the basement. The kicker: this is happening WHILE Starship had a successful "over the moon" test and Morgan Stanley told SpaceX bears to "consider cryogenic hibernation." When good news can't lift a stock, that's the market telling you something structural is broken in the short term.
- The Trump tariff headlines are back in play ahead of the Fed meeting — space hardware is aluminum, titanium, rare earths, and specialty electronics, most of which now carry import duties. Rising input costs + Fed staying hawkish on rates = double squeeze on capital-intensive space names.

WHY IT MATTERS

Here's what nobody's saying out loud: SPCX is down 50% from its highs while broader markets are ripping (Dow rallying on Iran ceasefire, S&P heading for record Q2 profits). That divergence means space is being treated as a "risk-off" sector right now — investors are dumping speculative, long-duration bets and rotating into cash-flow names like financials, staples, and real estate (all up 2%+ today). The bullish options flow (P/C ratio 0.81, unusual calls at \$116 and \$110 strikes) suggests smart money is starting to nibble at these lows, but the massive put block at \$100 tells me someone big is hedging for one more leg down. Translation: we're probably near a bottom, but "near" could mean another 10% down before it turns.

POLICY & POLITICAL WATCH

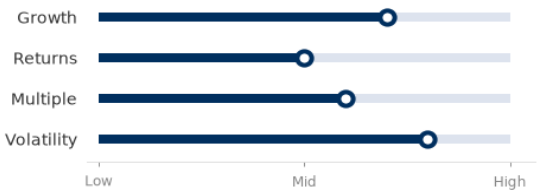
The big one to watch is the FY2027 NASA authorization and the Golden Dome missile defense initiative — both are winding through Congress and would directly benefit SPCX's holdings (Rocket Lab, Iridium, Planet Labs, AST SpaceMobile). Trump's administration has been vocally pro-commercial-space, but tariffs on Chinese electronics and European aerospace components (still unresolved) are a real margin headwind for satellite manufacturers. Also keep an eye on the FCC spectrum auction rules — if the administration frees up more mid-band spectrum for satellite broadband, AST and Iridium re-rate higher, which lifts the whole ETF.

IS IT EXPENSIVE?

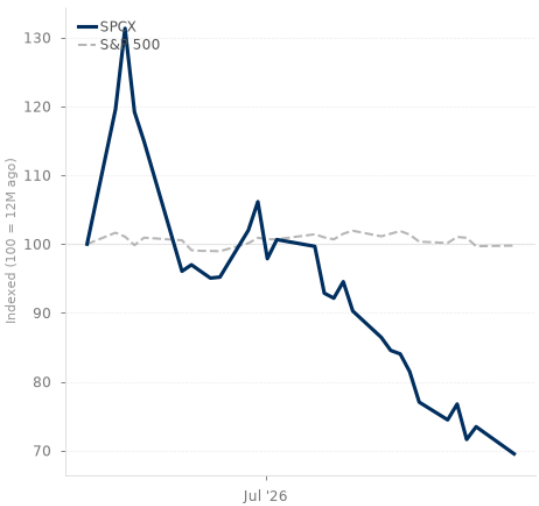
Key Data

Price (USD)	\$111.36
12M Price Target	\$130.00
Upside / (Downside)	+16.7%
Market Cap	\$1.47T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$115.00	\$105.00
6 Months	\$145.00	\$125.00	\$100.00
1 Year	\$170.00	\$130.00	\$95.00
2 Years	\$210.00	\$160.00	\$90.00
5 Years	\$320.00	\$220.00	\$110.00
10 Years	\$500.00	\$350.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+2.9%), Staples (+2.6%), Real Estate (+2.3%) — classic "defensive rotation with a growth tilt" as the Iran ceasefire removes tail risk and investors reach for yield + quality

COOLING OFF: Speculative growth, including space and small-cap biotech — anything that needs cheap capital and long timelines is getting crushed as the Fed stays tight

ROTATION WATCH: Money is fleeing "story stocks" and piling into names with actual earnings — the S&P is heading for record Q2 profits, so why bet on 2030 revenue when 2026 profits are right there? SPCX is on the wrong side of this trade until sentiment shifts.

RELATED PLAY: If you want space exposure with more downside protection, look at the defense primes (LMT, NOC, RTX) — they capture the government space spending without the meme-stock volatility of pure-play satellite names.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Neutron rocket progress + DoD contract wins keeping it relatively firm despite sector weakness
- IRDM (Iridium): Actual free cash flow and government contracts make it the "grown-up" of the space group

SPCX CONTEXT: SPCX is lagging the individual winners inside it because the ETF is dragged down by weaker constituents and the SpaceX-adjacent sentiment overhang. If you have conviction on space, the individual names may outperform the basket — but the basket gives you diversification if you don't want to pick.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the setup at 52-week lows with bullish options flow, but I'm not pounding the table until we see tariff clarity and budget confirmation

POSITION SIZE: 2-4% of portfolio — this is a thematic bet, not a core holding, and volatility demands respect

ENTRY POINTS: Scale in between \$108-112, add aggressively if we tag \$100 (where the big put wall sits — often marks a floor)

TIME HORIZON: 12-24 months, catalyst = NASA FY27 budget finalization + any tariff resolution + SpaceX Starship operational milestones

WHEN TO BAIL: Break below \$100 on heavy volume, or if the administration signals space spending cuts in the next budget draft

HEDGING: Pair a SPCX position with a defense prime like Lockheed — if space craters due to budget cuts, defense doesn't; if space rips, you still make money on both